STATES IN A SAD STATE

AS EVER-INCREASING SOCIAL SPENDS EAT INTO STATE REVENUES, THEY ARE LEFT WITH HUGE FISCAL AND REVENUE DEFICITS, MASSIVE DEBT AND LITTLE MONEY FOR CAPITAL EXPENDITURE

RED ALERT

While the target total debt to GDP cap of states is set at 20 per cent by the FRBM review committee for FY23, the average in the past two years remains over 30 per cent, which is worrying

STATE	DEBT 2021-22 RE (% OF GSDP)
Andhra Pradesh	32.5
Bihar	38.6
Chhattisgarh	26.2
Gujarat	19
Haryana	29.4
Jharkhand	33
Karnataka	26.6
Kerala	37
Madhya Pradesh	31.3
Maharashtra	17.9
Odisha	18.8
Punjab	53.3
Rajasthan	39.5
Tamil Nadu	27.4
Telangana	24.7
Uttar Pradesh	34.9
West Bengal	34.4

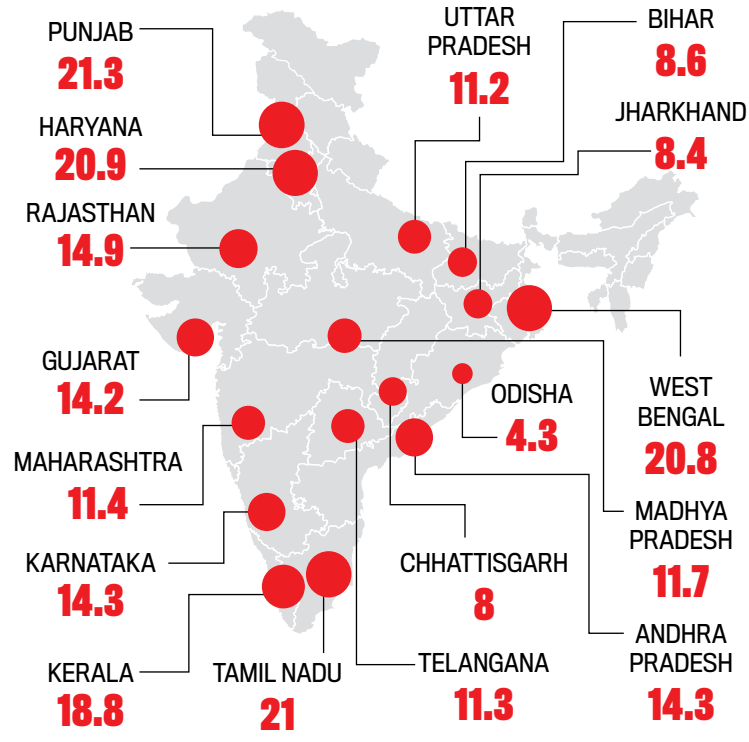
Higher — Lower

*GSDP: Gross State Domestic Product

NOT MUCH HEADROOM

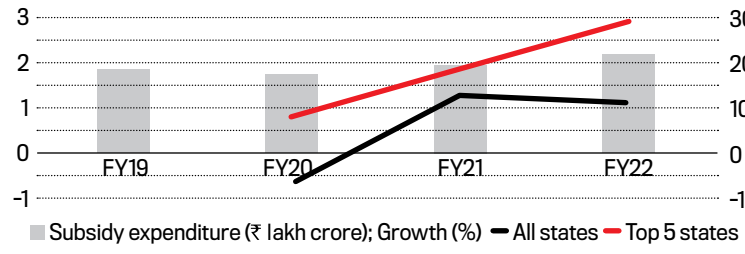
Interest payments limit fiscal space for development spend, with the RBI flagging states that had outgo of over 10% of revenue receipts, a condition mandated by the FRBM

INTEREST PAYMENTS (2021-22 RE)
(% of revenue receipts)



UP, UP, UP AND AWAY

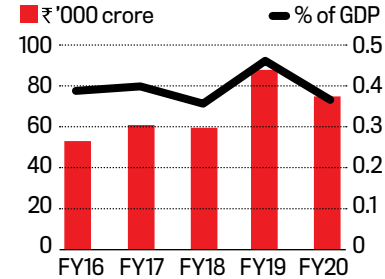
Cumulative growth of states has come down in the Covid years even as the subsidy spend has gone up consistently



POWER TUSSLE

Servicing discom debt has been a major strain on the finances of most states

DISCOM LOSSES
(Excluding UDAY grants and regulatory income)



Graphics by **TANMOY CHAKRABORTY**

Source: RBI Bulletin